

# Yating Yuan

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## Education

Ph.D. Economics, University of Warwick, expected 2025

MRes Economics, University of Warwick, 2019–2021

MSc Economics, University College London, 2017–2018

B.A. Economics, Peking University, 2013–2017

## Fields of Interest

Applied Microeconomic Theory, Industrial Organization

## Working Papers

Costless Coordination through Public Contracting (Job Market Paper)

Selling a Viral Product

Polarization in Public Health Crises (with Audrey Hu)

## Teaching Experience

Excellent Teaching Award, University of Warwick, 2021–2022

Industrial Economics 2: Strategy & Planning (EC326), University of Warwick, Winter 2022

The World Economy: History & Theory (EC104), University of Warwick, Fall 2021

## Academic Experience

Research Assistant, Prof. Audrey Hu, 2021–Present

*City University of Hong Kong*

Research Assistant, Prof. Cong Xie & Prof. Wei Cui, 2018–2019

*Chinese University of Hong Kong (Shenzhen)*

Research Assistant, Prof. Vasiliki Skreta, 2017–2018

*University College London*

Research Assistant, Prof. Julie Shi, 2015–2016

*Peking University*

## Professional Activities

Organizer, Warwick Micro Theory Reading Group, Summer 2022

Referee, Warwick PhD Conference, 2023-2024

## Scholarships

Chancellor's International Scholarship, University of Warwick, 2021-2025

Departmental Scholarship, University of Warwick, 2019-2025

Undergraduate Scholarships ( $\times 4$ ), Peking University, 2013-2016

## Presentations and Summer Schools

2025: Durham Economic Theory Conference

2024: Conference on Mechanism and Institution Design (Budapest), North American Summer Meetings of the Econometric Society (Vanderbilt), European Workshop in Economic Theory (Manchester), RES Annual Conference (Belfast)

2023: Asian School of Economic Theory (Tokyo), Asian Meeting of the Econometric Society (Singapore), EARIE (Rome), RES PhD Conference (Glasgow), HEC Economics PhD Conference (Paris), Lisbon Meetings in Game Theory and Applications (Lisbon)

2022: DSE Summer School (MIT)

## Languages and Skills

Languages: Mandarin Chinese (Native), English (Fluent)

Skills:  $\text{\LaTeX}$ , Matlab, STATA

## References

**Motty Perry (Co-supervisor)**

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## Abstracts

### **Costless Coordination through Public Contracting (JMP, Submitted)**

Can team contracts be cost-minimizing, fair, and transparent all at once? Conventional wisdom seems pessimistic: to ensure team effort at minimal cost, existing contracts either discriminate among workers (e.g., Winter, 2004) or keep contract information in private (e.g., Halac, Lipnowski, and Rappoport, 2021). Yet as pay transparency laws spread, organizations need open pay structures. This paper provides a simple mechanism that achieves all three goals.

A principal wants to incentivize a team to work on a joint project. Building on Winter (2004), I propose a mechanism in which agents publicly choose between two contracts before privately exerting effort. A “collaborate” contract promises each agent a modest bonus that incentivizes work if and only if others also work. A “monopolize” contract instead offers the chooser a large bonus upon team success but nothing to others.

The mechanism optimally leverages the public contract choice as a coordination device. Because the monopoly bonus is large, choosing “collaborate” while planning to shirk is weakly dominated by choosing “monopolize.” Hence, when an agent, say Alice, chooses “collaborate,” her teammates will infer that she plans to work, which leads them to work as well. This coordinated effort, in turn, makes it optimal for Alice to choose “collaborate” rather than “monopolize.” Consequently, the mechanism implements the “collaborate” contract and full effort in the unique outcome under Iterative Elimination of Weakly Dominated Strategies. Unlike earlier models, the resulting bonus scheme is efficient, fair, and transparent.

### **Selling a Viral Product**

Do sellers profit from launching a new product with multiple versions (e.g., storage options, features) in a digital era? Classic theories explain versioning as a tool for price discrimination and screening, but they overlook a critical force in today’s markets: observational learning. When Apple launched the first iPhone in 2007, no one knew exactly how much value it would bring to everyday life. Over time, the public came to understand the value through the growing number of users. It is such public belief, rather than private tastes, that drives market demand in the long run.

This paper explores why and when such observational learning incentivizes a monopolist to sell different versions. It shows that a cheap basic version can increase the monopolist’s profit by guiding learning in the short run. Early consumers try the cheap version, generate information, and pave the way for later consumers to pay a high price for the premium version, a price that would not sell on its own. Yet this role of versioning does not always work. When consumers’ private information is too noisy, manipulating the learning process is cheap: a small price cut substantially reduces the risk of a bad learning path. The seller therefore sets a low premium price. Once the premium version is already affordable, a basic version adds little. The seller thus sticks to a single-version menu.

The discussion offers a new perspective on why firms from Apple to crowdfunding platforms

and online services rely on multi-version policies. Versioning is not just about price discrimination. It is also a strategic tool to shape how markets learn.

### **Polarization in Public Health Crises** (with Audrey Hu)

Why do public health crises sometimes trigger a sharp divide in precautionary behavior, such as during COVID-19, while in other cases, like H1N1 outbreaks, responses are less divided? Instead of explaining these patterns through misinformation or partisanship, we show they *need not*: polarization in behavior can arise even in the absence of polarization in population characteristics, preferences, or beliefs. The structure of risk exposure in human-to-human transmission can, by itself, generate sharply divided responses. When the risk exposure probability exhibits a “front-loaded” danger, i.e., a large, nonincreasing hazard rate, initial actions carry high risk, but further actions add little. More vulnerable individuals will find the first steps too risky that they would rather stay home. Others instead “go all in,” since once a certain risk feels acceptable, continuing costs little. As a result, even in a mildly heterogeneous population, equilibrium behavior can endogenously split into two extremes.